



TPS EASTERN AFRICA PLC

UNAUDITED CONSOLIDATED RESULTS FOR THE SIX MONTHS ENDED 30th JUNE 2024

The Board of Directors of TPS Eastern Africa PLC is pleased to announce the unaudited results and summary financial statements for the six months ended 30th June 2024

CONSOLIDATED SUMMARISED INCOME STATEMENT

	Six months to 30-Jun-24 Shs'000	Six months to 30-Jun-23 Shs'000
Revenue from contracts with customers	4,530,549	3,759,960
Profit before unrealised exchange difference, interest, depreciation, results of associates and taxation	813,914	794,511
Unrealised exchange gain/ (loss) on foreign currency loans	452,927	(361,823)
Net interest cost	(169,987)	(201,963)
Depreciation	(304,093)	(278,734)
Share of results of associates	29,505	10,895
Profit/ (Loss) before income tax	822,266	(37,114)
Income tax (charge)/ credit	(251,271)	6,887
Profit/ (loss) after taxation	570,995	(30,227)
Attributable to:		
Equity holders of the Company	535,549	(52,236)
Non-controlling interest	35,446	22,009
	570,995	(30,227)
Profit/ (loss) per share attributable to the equity holders of the Company - basic (Shs. per share)	1.89	(0.18)
Weighted average number of shares ('000's)	282,651	282,651

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Six months to 30-Jun-24 Shs'000	Six months to 30-Jun-23 Shs'000
Profit/ (loss) after taxation	570,995	(30,227)
Other comprehensive income: Items net of tax		
Currency translation differences	(536,586)	470,897
Total comprehensive income	34,409	440,670
Attributable to:		
Equity holders of the Company	(1,037)	418,661
Non-controlling interest	35,446	22,009
	34,409	440,670

SUMMARISED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	30-Jun-24 Shs'000	30-Jun-23 Shs'000
EQUITY		
Share capital (inclusive of share premium)	6,284,392	6,284,392
Other reserves	1,652,659	1,840,932
Minority interest	871,049	803,336
Retained earnings	2,587,083	1,154,225
Total equity	11,395,183	10,082,885
REPRESENTED BY		
Non-current liabilities	4,821,538	5,658,006
Total equity and non-current liabilities	16,216,721	15,740,891
Non-current assets	15,309,627	15,639,268
Current assets		
Inventories	535,879	523,087
Trade and other receivables	1,595,421	1,427,056
Current income tax	254,833	245,497
Short term investment	902,771	-
Bank and cash balance	389,454	614,607
	3,678,358	2,810,247
Current liabilities		
Trade and other payables	2,195,914	1,819,276
Borrowings	438,139	789,546
Current income tax	-	7,925
Bank overdraft	137,211	91,877
	2,771,264	2,708,624
Net Current Assets	907,094	101,623
Net Assets	16,216,721	15,740,891

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital	Share Premium	Revaluation Reserve	Translation Reserve	Retained earnings	Non- controlling interest	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At 1 st January 2023	282,651	6,001,741	2,282,094	(912,059)	1,206,461	781,327	9,642,215
Comprehensive income for the period							
Loss for the period	-	-	-	-	(52,236)	22,009	(30,227)
Other comprehensive income:							
Currency translation differences	-	-	-	470,897	-	-	470,897
Total other comprehensive income	-	-	-	470,897	-	-	470,897
Shareholder transactions:							
Issue of shares	-	-	-	-	-	-	-
Total comprehensive income / (loss) for the period	-	-	-	470,897	(52,236)	22,009	440,670
At 30 th June 2023	282,651	6,001,741	2,282,094	(441,162)	1,154,225	803,336	10,082,885

	Share Capital	Share Premium	Revaluation Reserve	Translation Reserve	Retained earnings	Non- controlling interest	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At 1 st January 2024	282,651	6,001,741	2,266,195	(76,950)	2,051,534	835,603	11,360,774
Comprehensive income for the period							
Profit for the period	-	-	-	-	535,549	35,446	570,995
Other comprehensive income:							
Currency translation differences	-	-	-	(536,586)	-	-	(536,586)
Total other comprehensive loss	-	-	-	(536,586)	-	-	(536,586)
Shareholder transactions:							
Issue of shares	-	-	-	-	-	-	-
Total comprehensive (loss)/ income for the period	-	-	-	(536,586)	535,549	35,446	34,409
At 30 th June 2024	282,651	6,001,741	2,266,195	(613,536)	2,587,083	871,049	11,395,183

SUMMARISED CONSOLIDATED STATEMENT OF CASH FLOWS

	Six months to 30-Jun-24 Shs'000	Six months to 30-Jun-23 Shs'000
Net cash from operating activities	434,228	614,993
Net cash used in investing activities	(658,756)	(243,677)
Net cash used in financing activities	(261,207)	(463,249)
Decrease in cash and cash equivalents	(485,735)	(91,933)
Movement in cash and cash equivalents		
At start of period	792,524	575,293
Effects of currency translation differences	(54,546)	39,370
Decrease in cash and cash equivalents	(485,735)	(91,933)
At end of period	252,243	522,730

Commentary

Building on the positive momentum from 2023, TPS Eastern Africa PLC (TPSEAP/the Company/the Group), has continued to grow its market share and revenues in a dynamic and competitive market environment within the East African region during the first half of year 2024.

Feedback from suppliers of business from both traditional and emerging international source markets has been encouraging, witnessed by an increase in demand for leisure, corporate and Meeting, Incentives, Conferences and Exhibitions (MICE) business. Ongoing facilitation by respective governments to promote East Africa as a destination, for instance, Royal Tour in Tanzania has paid off. This indicates sustained confidence in the foreign leisure and corporate sectors, showing positive business trends from the domestic and regional markets, including leisure, corporate travel, and MICE events. Serena city hotels have continued to be the preferred choice of accommodation and events for high-profile delegations, as well as governmental and diplomatic functions.

For the six-months to 30 June 2024, TPSEAP achieved a 20.4% increase in turnover compared to the same period in 2023 to stand at Shs. 4.5 billion (2023: Shs. 3.8 billion) mainly driven by increase in occupancy. Total operating expenses also grew with notable increases in employment related expenses, energy costs and property maintenance costs necessary to sustain operating standards and preserve guest satisfaction. Other operating expenses were effectively managed resulting in overall efficiency. As a result, Profit before unrealised exchange difference, interest, depreciation, and taxation recorded a 2.4% growth compared to previous year, to stand at Shs. 814 million (2023: Profit of Shs. 795 million). The appreciation of the Kenya Shilling against the US Dollar, led to non-cash unrealized exchange gain of Shs. 453 million on the Company's US Dollar-denominated debt. Excluding the impact of unrealised exchange gain/(loss), Profit before tax has increased by 14% compared to previous period. Consequently, the Earnings Per Share has improved to Shs. 1.89 compared to previous period Loss per Share Shs. 0.18.

Given the seasonal nature of the tourism industry in East Africa and the uncertainty arising from the challenges during the first six months including e.g. heavy rains, flooding and disruptions resulting from political demonstrations in Kenya, the financial performance of TPSEAP for the first half of year 2024 should not be taken as a basis to extrapolate a full year's forecast. The Board and Management maintain a balanced perspective, combining caution with optimism about the Company's growth potential for the remainder of the year.

As the Group navigates the complexities in the remaining period of 2024, it faces regional risks marked by political uncertainty, security concerns, high interest rates, currency fluctuations, rising inflation and cost of living, including energy costs. These challenges could be compounded by broader macroeconomic factors, such as economic instability, public health concerns (monkey-pox), challenges associated with climate change, and emerging geopolitical tensions within and outside the East Africa region.

As reported at the last Annual General Meeting held on 27th June 2024, Serena continues to transform its regional business through revenue maximization, technological infrastructure upgrades, human resource development, enhancing guest facilities and comfort, and investing in the renovation and refurbishment of guest rooms and public areas. Feedback from guests and suppliers of business have been invaluable in improving the guests satisfaction through improved services and product enhancement.

Serena Hotels actively integrates Environmental, Social, Economic, and Governance (ESG) practices into its daily business operations to align with its medium to long-term business strategies. By incorporating the United Nations Sustainable Development Goals, we have been able to make meaningful impact across the Eastern Africa region. This includes promoting eco-tourism, addressing challenges related to climate change, conserving water, and energy, participating in reforestation efforts, installing solar energy systems, preserving biodiversity, respecting local traditions, culture, and heritage, supporting education, and contributing to public health initiatives in communities around our operations.

Management will continue to pursue investments for the upgrade and refurbishment of the group's Hotels, Resorts and Lodges, including technology upgrades, and upskilling of associates in order, to remain competitive. Accordingly, the Board of Directors have decided to conserve cash, reduce debt, and not declare an interim dividend.

Lastly, the Board and Management wish to acknowledge with deep appreciation the ongoing support, confidence, loyalty, and trust that Serena Hotels have continued to receive from its shareholders, associates (staff), customers, regulatory authorities and other stakeholders.

By Order of the Board

Dominic Ng'ang'a
Company Secretary

August 20, 2024
Nairobi



SERENA HOTELS

SAFARI LODGES AND CAMPS
HOTELS • RESORTS